

Equities

Chapter Summary

Equities have historically exhibited high returns relative to bonds and cash (bills). The equity risk premium is a reward for bearing losses during bad times, which are defined by low consumption growth, disasters, or long-run risks. Equities are a surprisingly poor hedge against inflation. While theory suggests that equity risk premiums are predictable, predictability is hard to detect statistically. Equity volatility, however, is much more forecastable.

1. The Lost Decade

The 2000s were the Lost Decade for stock returns. Figure 8.1 plots the cumulated returns of \$1 invested at January 1, 2000 through December 31, 2010 in the S&P 500, Treasury bonds, or Treasury bills (which I call cash). The performance of stocks was dismal. Stock returns started to decline in late 2000 and then the terrorist attacks of September 11, 2001, and the subsequent recession sent stock returns into a tailspin. By September 2002, stocks ended up cumulatively losing more than 40 cents of that initial \$1 investment. Stocks recovered over the mid-2000s but lost money again in 2007 as subprime mortgages started to deteriorate. Then came the global financial crisis. In 2008, stocks lost 37% of their value. As policymakers stabilized financial markets and the economy began to improve, stocks bounced back in 2009. But the initial \$1 invested in stocks at the beginning of the decade had grown to only \$1.05 by December 31, 2010. Investors would have done better simply holding Treasury bills, which cumulated to \$1.31 at December 31, 2010. Bonds, however, trounced stocks and bills, finishing the decade at \$2.31.

While stocks did poorly in the Lost Decade, they have exhibited a high risk premium relative to bonds and cash over long periods. Figure 8.2 plots average returns (on the y -axis) and volatilities (on the x -axis) for nineteen countries and the world from 1900 to 2010 for stocks and bonds as reported by Dimson, Marsh, and Staunton (2011). The countries are Australia, Belgium, Canada, Denmark,